ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 10 - INDEX FUTURES - PM TREND

INTRODUCTION AND DISCLAIMER

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00:00:00

This content addresses a commodity issue and requires adherence to the provided disclaimer. It is emphasized that the presenter is not a licensed CTA and is not offering commodity trade advice. All discussions are for informational purposes only and should be viewed solely in the context of paper trading. This lesson is part of the June 2017 ICT Mentorship, specifically 'ICT Index Trading Lesson Three: The PM Trend'.

DEFINING THE PM TREND SESSION

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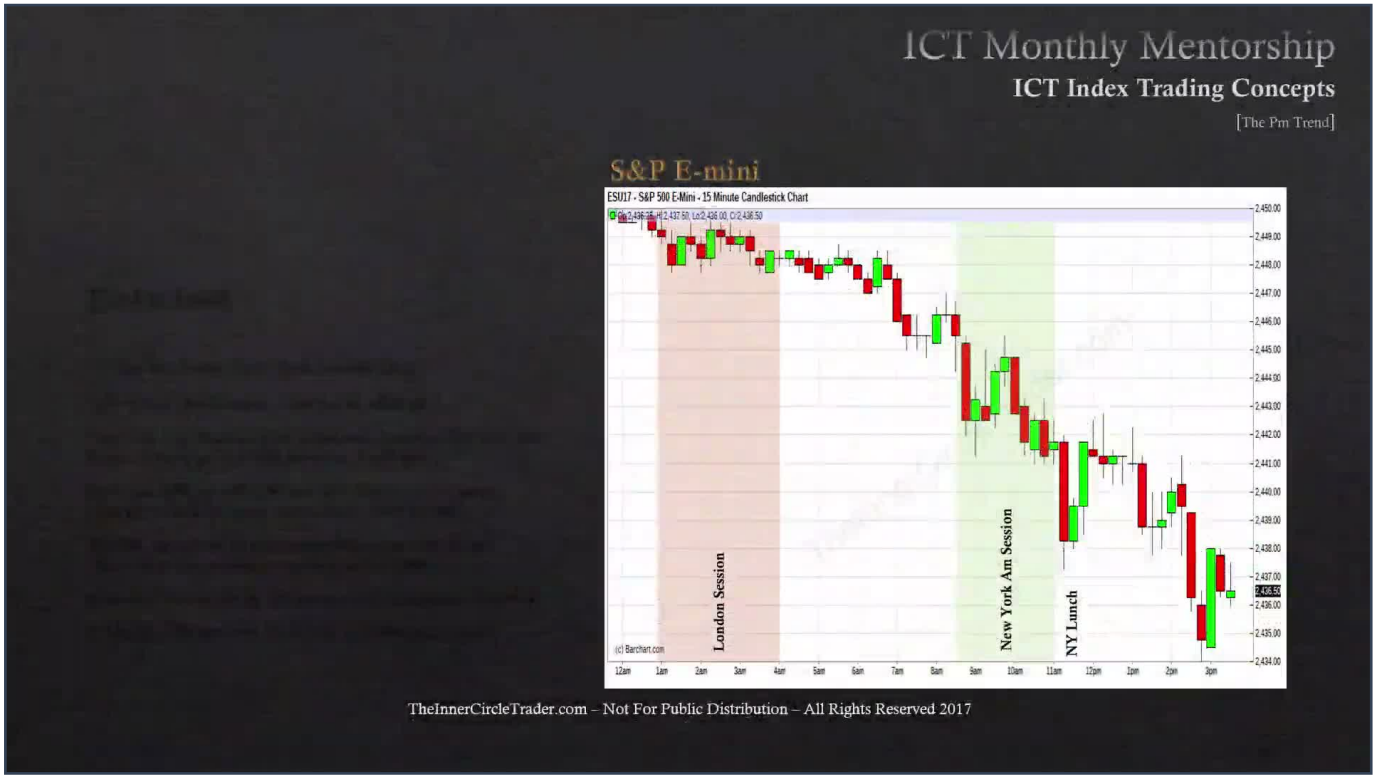
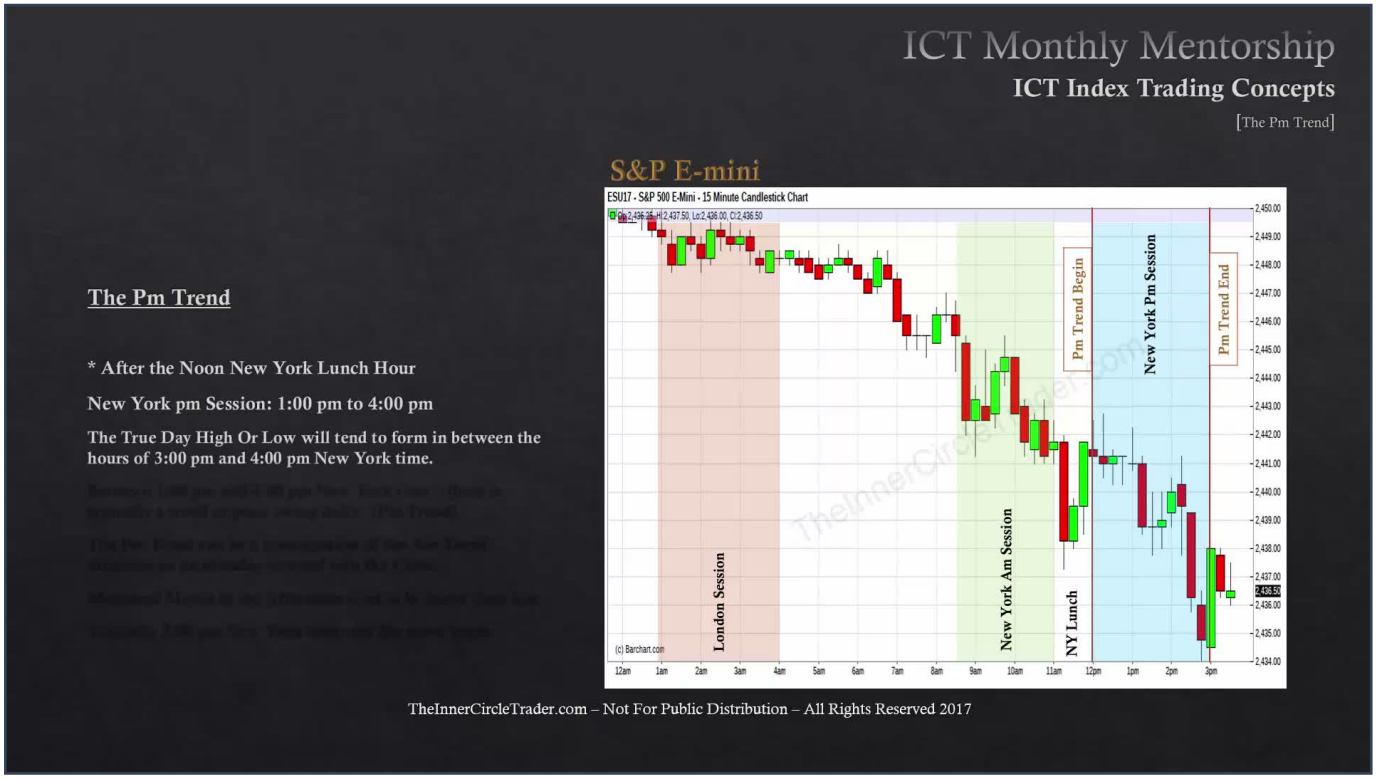


The PM Trend refers to the afternoon session in North America. It typically occurs after the noon New York lunch hour.

- The New York PM session is defined by the 1 PM to 4 PM New York time hours.

- Visually, this time window is delineated as a shaded blue area on a chart, marking the beginning and end of the PM trend time window.

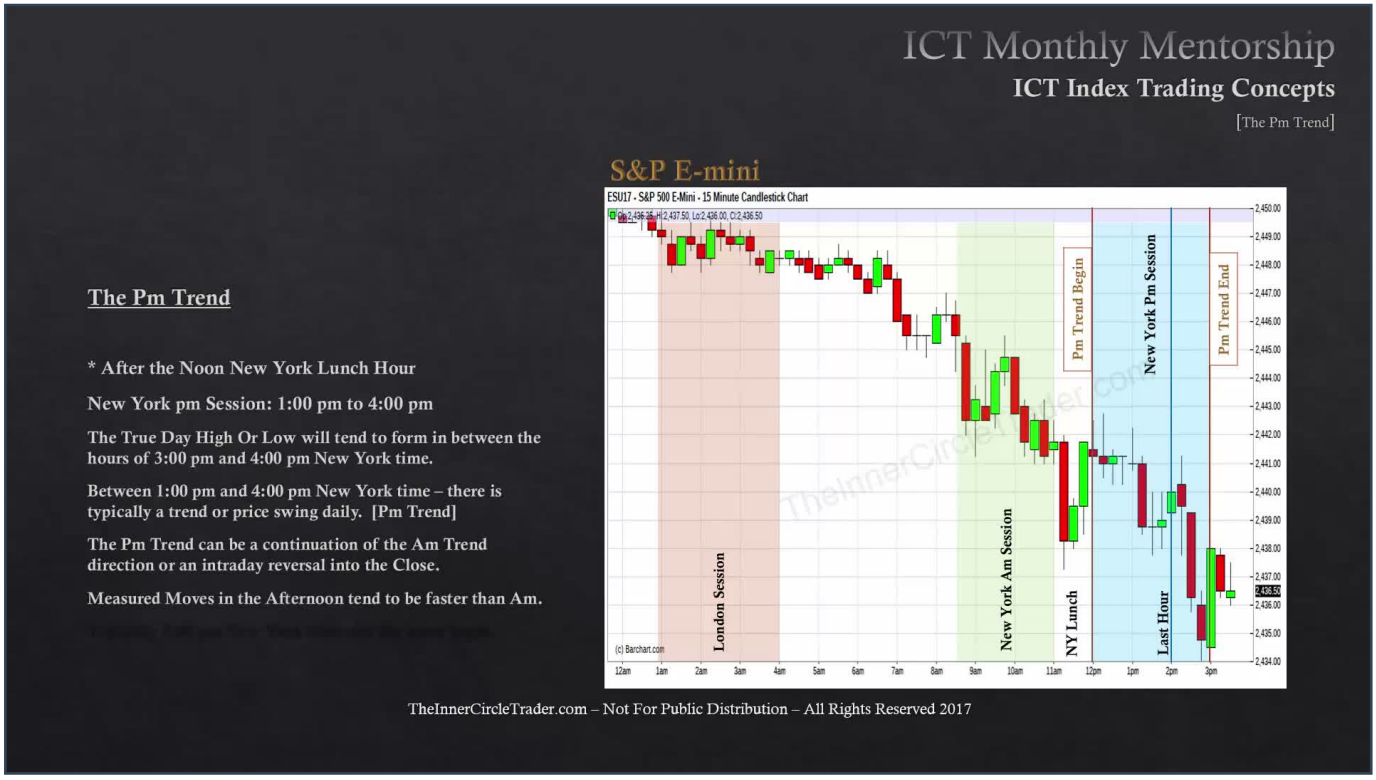


The true day high or low will tend to form between 3 PM and 4 PM New York time, which is typically the last hour of trading.

- Between 1 PM and 4 PM New York time, there is typically a trend or a price swing seen daily. This is referred to as the PM Trend or the afternoon swing.

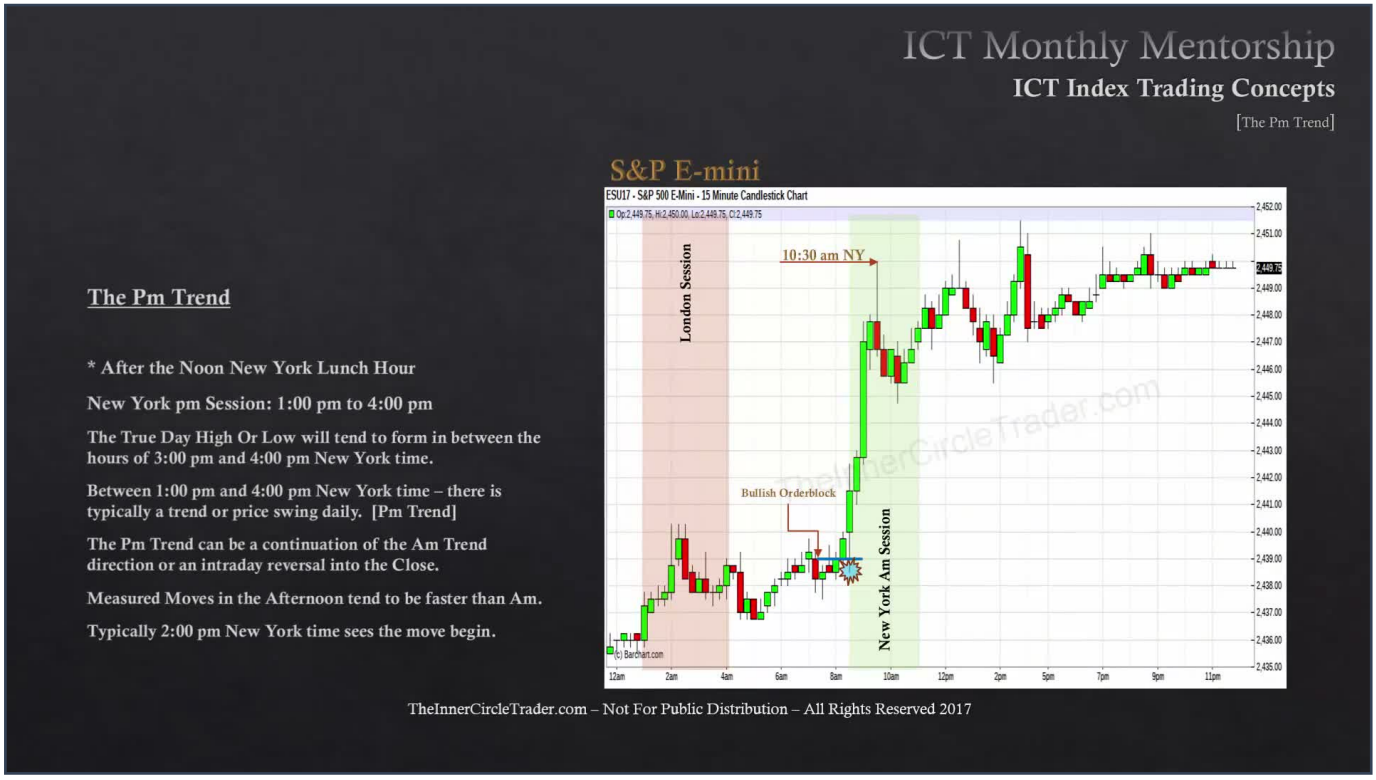
- The PM Trend can either be a continuation of the AM Trend direction or an intraday reversal going into the close.

- Measured moves in the afternoon tend to be faster than those seen in the AM session.



Typically, 2 PM New York time sees the move begin within the PM Trend. However, it can start as early as 1 PM New York time.

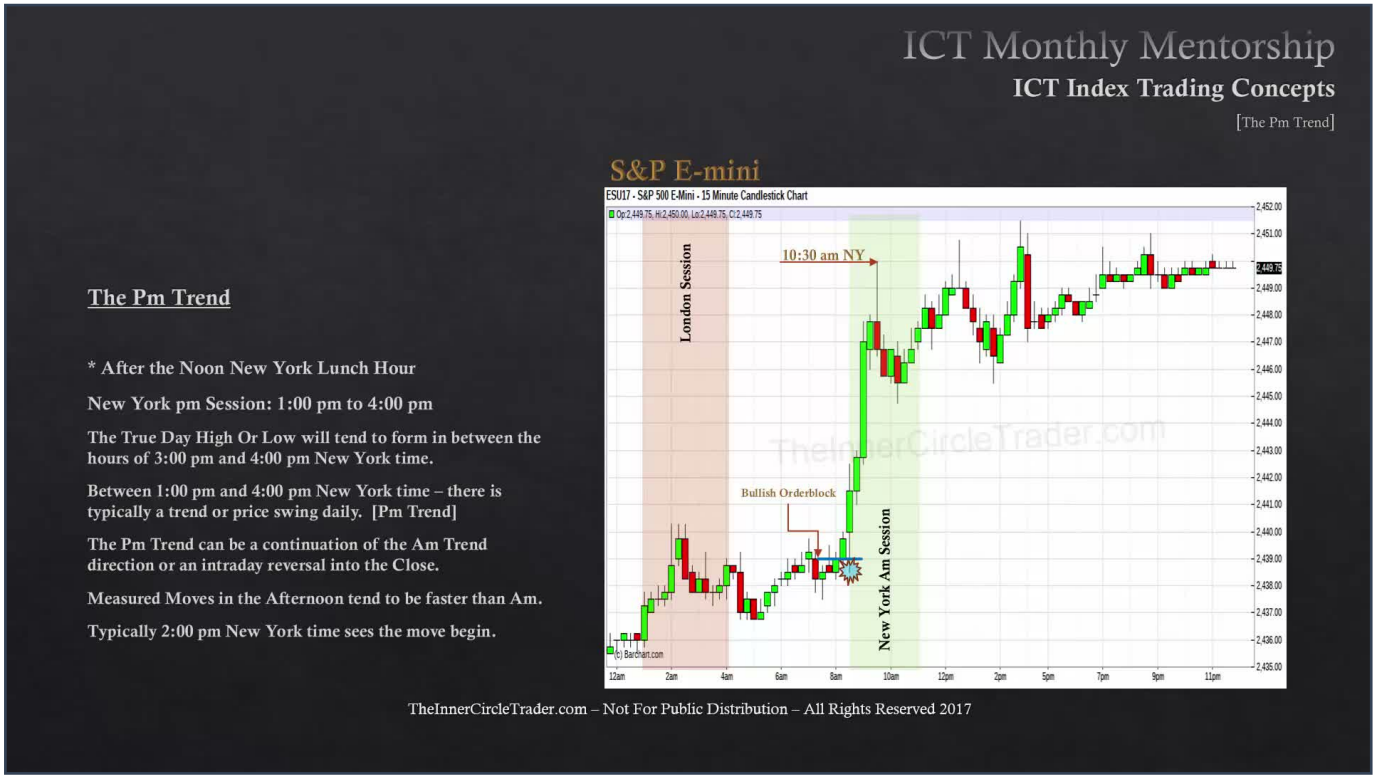
- Generally, around 2 o'clock in the afternoon New York time, the market really starts to heat up, and the sessions begin to move towards the closing basis of each trading day.



The AM and PM sessions are separated by the New York lunch hour. As a noteworthy point of reference, while referred to as the 'New York lunch hour,' typically noon to 1 PM, it can actually extend from as early as 11 AM to as late as 2 PM, depending on the current market environment.

- If there is a fast market in the morning, traders are likely to work through lunch. This results in short lunch periods or short periods of consolidation or retracement.

- If the morning session was rather lethargic, the full lunch hour could extend, potentially from 11 o'clock to 1 o'clock or even 2 o'clock. While not a frequent event, it can occur.



Generally, it is advisable to expect some measure of consolidation or retracement around the noon to 1 PM New York time window.

- After this period, the focus shifts to what the market does in terms of trading between the 1 PM and 4 PM time windows.

E-MINI S&P PM TREND EXAMPLE 1 - BULLISH ORDER BLOCK

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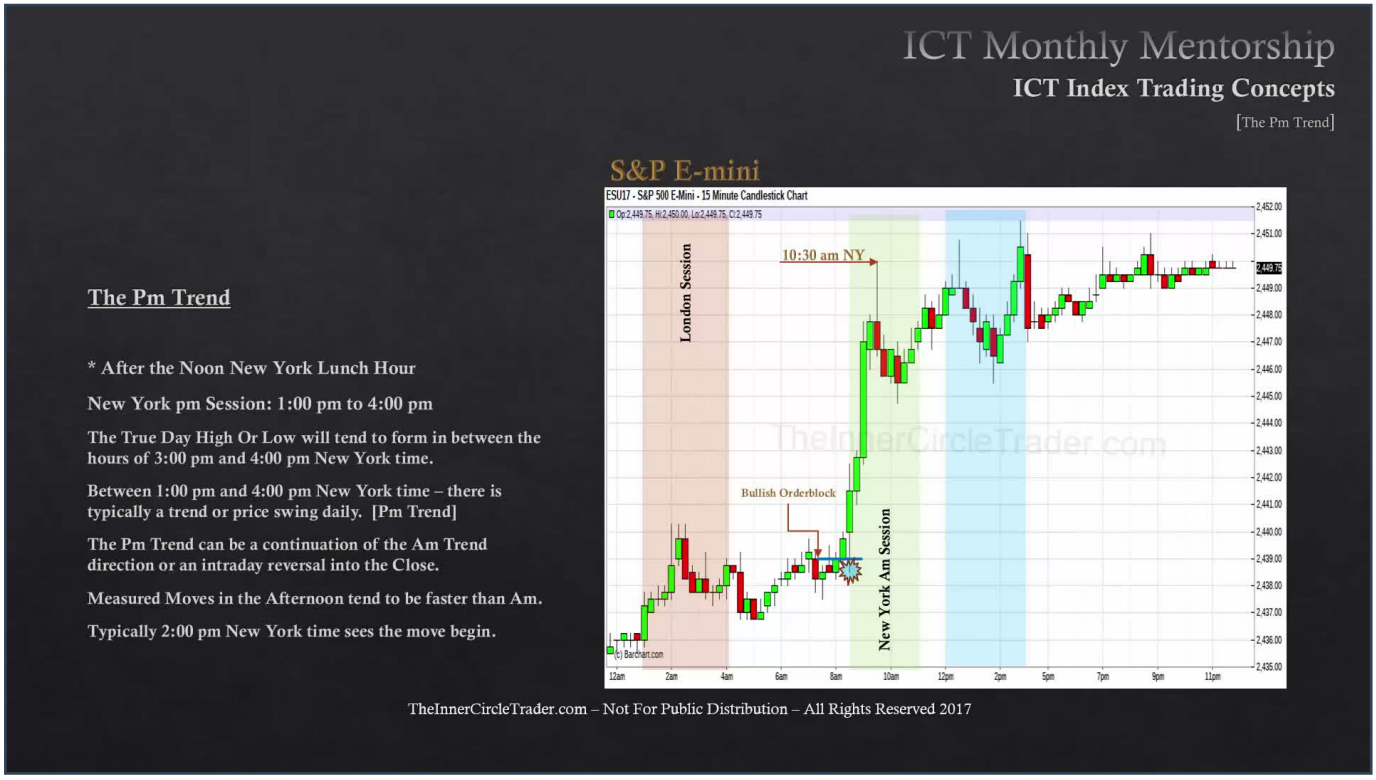

In this example, during the PM Trend for the E-mini S&P, the afternoon session drops down into an order block that was formed during the AM session.

- Price then vaults and trades off that bullish order block.

- The market then moves to the high of the day, which is seen in the last trading hour, going into the close.

E-MINI S&P PM TREND EXAMPLE 2 - RALLY INTO REJECTION BLOCK

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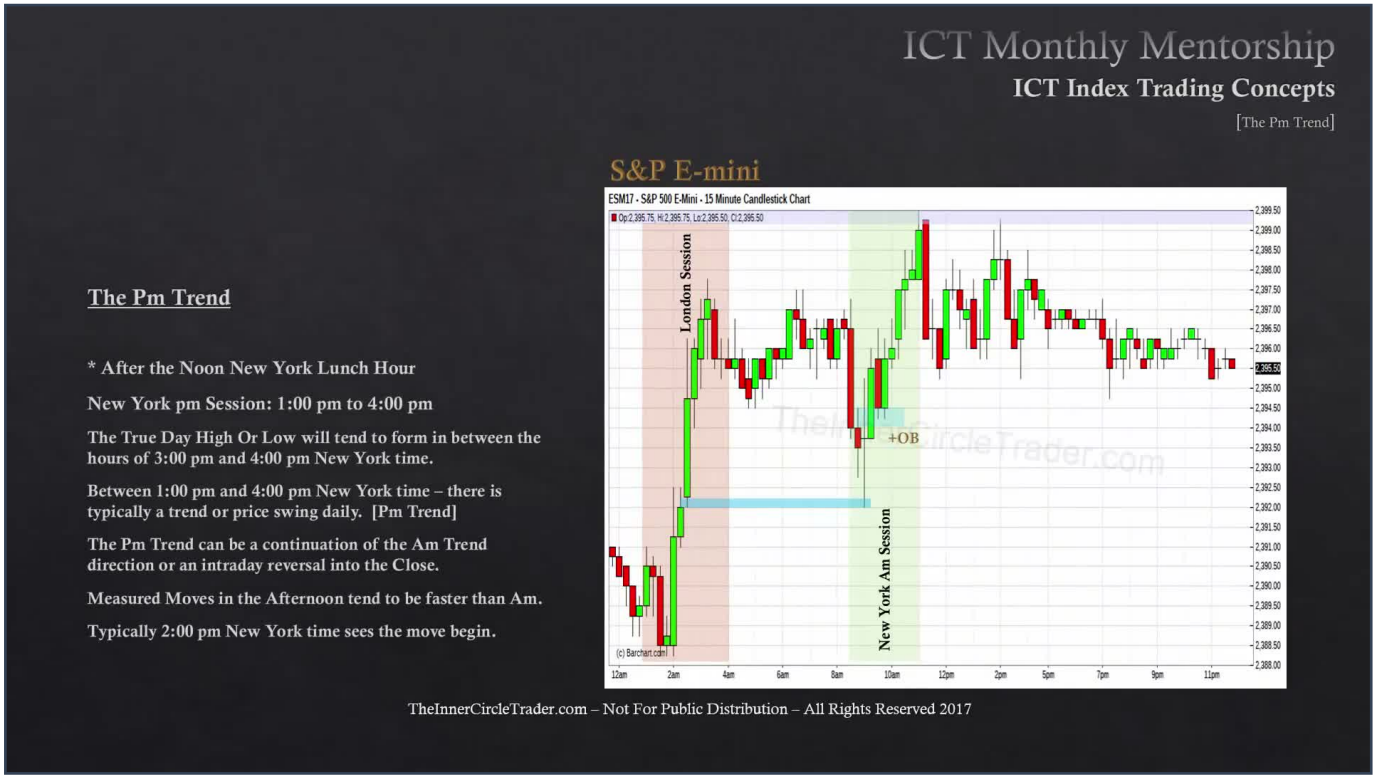

This example illustrates the relationship between the PM Trend and the AM session.

- Price trades down into a bullish order block that was seen in the AM session.

- Price rallies away from this bullish order block up into a rejection block.

- It's noted that not all movements are large; indices can experience small consolidation and expansion phases, although large range days with significant handle movements are possible.

- In this specific case, price moved almost 400 points in the afternoon session, heading up into a rejection block.

E-MINI S&P PM TREND EXAMPLE 3 - ACCUMULATION AND RALLY

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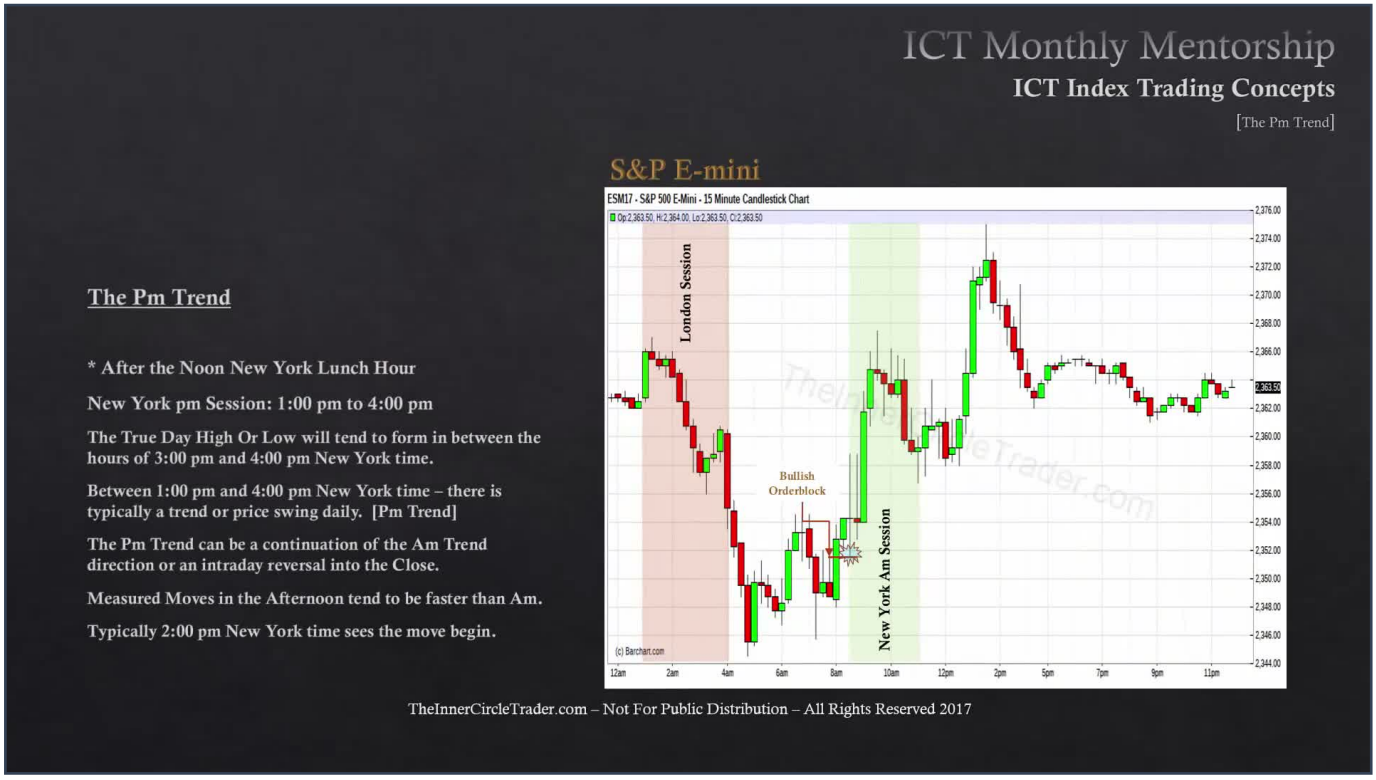

Another E-mini S&P example within the PM Trend time window.

- A rejection block forms.

- Price trades down into the previous range, moving below the last down close candle's closing price.

- At the beginning of the PM session, a large red candle violates that previous AM session's rejection block.

- An accumulation phase then takes place.

- The market rallies about 18 handles, marking a nice PM session day.

DOW E-MINI PM TREND EXAMPLE - REVERSAL

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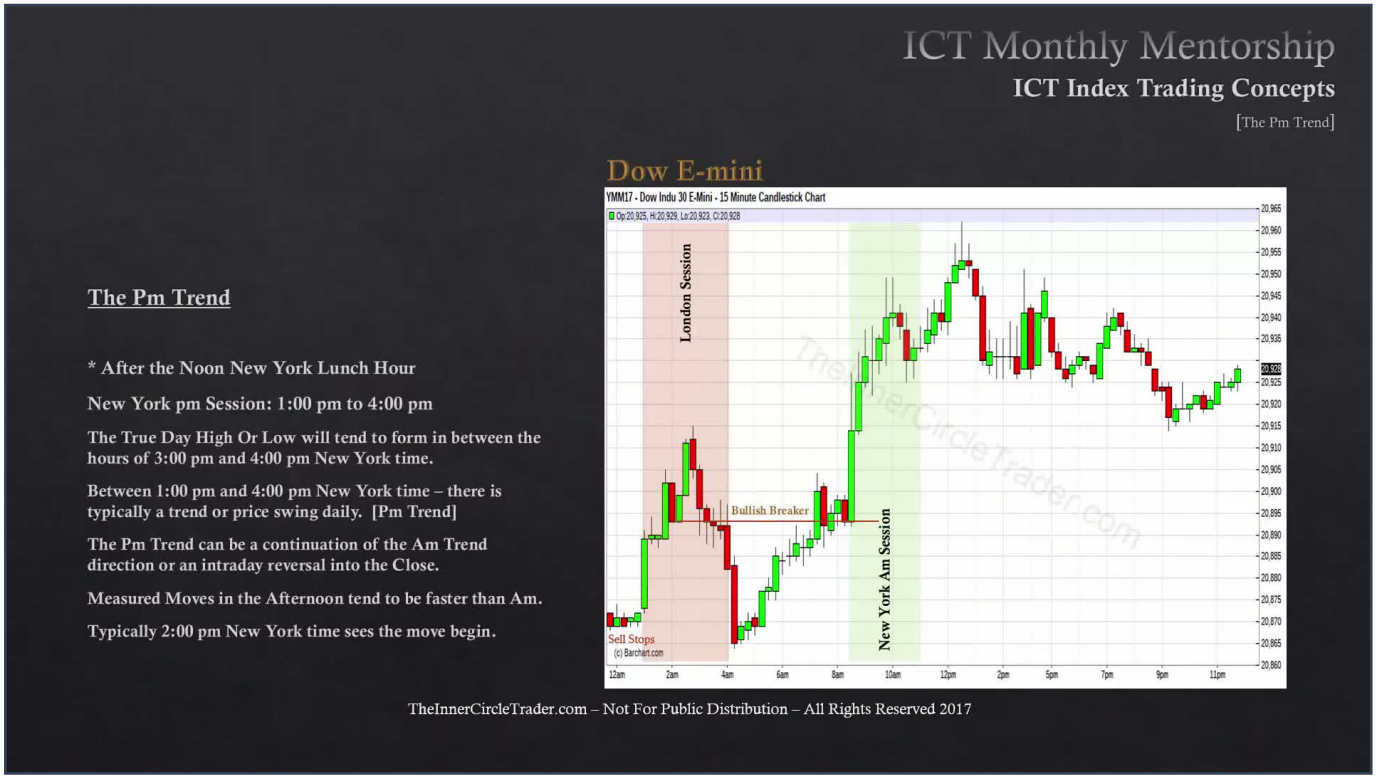

This example focuses on the Dow E-mini futures, applying the same time delineation.

- It shows how price moves in the form of a rejection of a previous high or a 'turtle soup'.

- The afternoon session in this instance creates a reversal, rather than a continuation.

NASDAQ E-MINI PM TREND EXAMPLE - ORDER BLOCK TO REJECTION BLOCK

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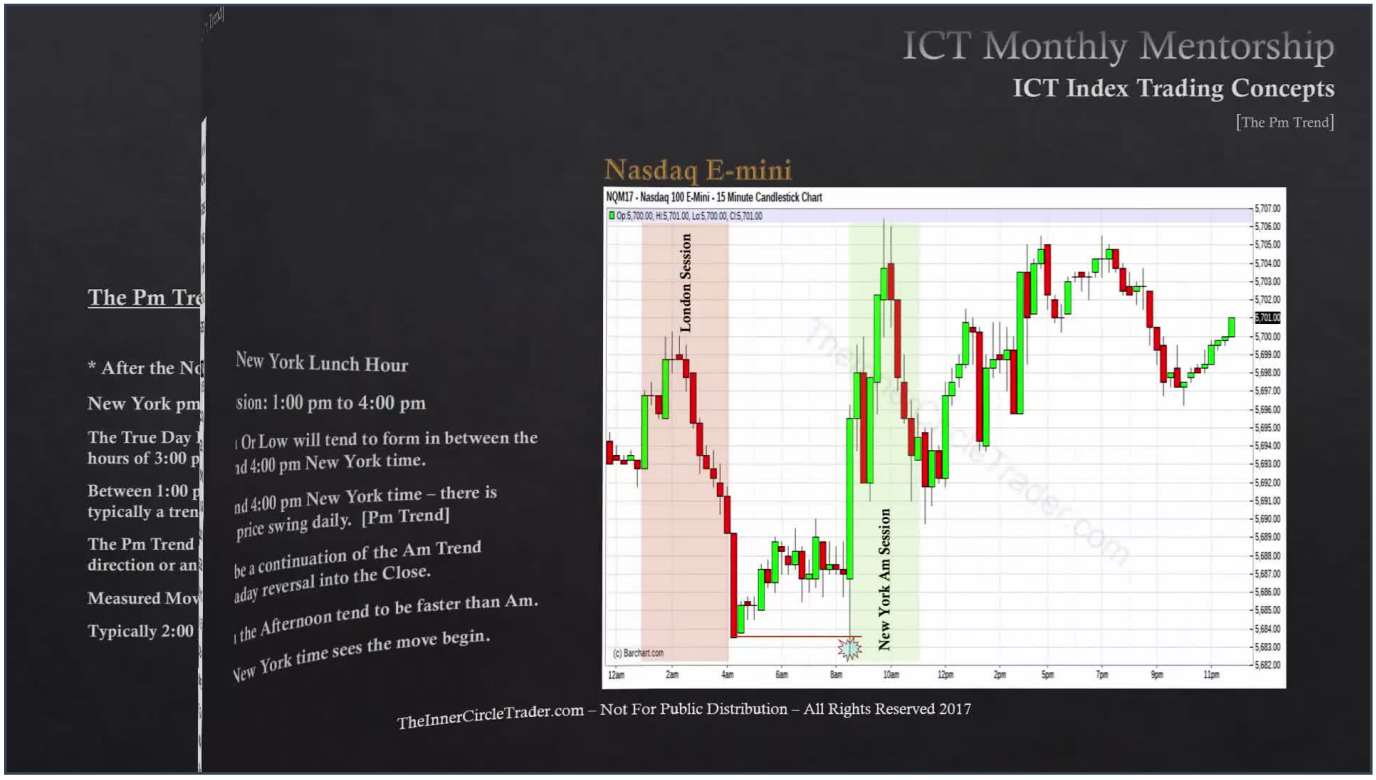

This example utilizes the NASDAQ E-mini futures with the same time delineation.

- The market trades down into an order block that was formed during the lunch hour.

- The bullish order block then sends price higher.

- Price moves up into a rejection block that was seen forming in the morning session.

- In this case, about nine full handles were traded up into, going into the close, representing a nice PM session trade into the rejection block.

INDEX SMT IN THE PM SESSION - BULLISH DIVERGENCE

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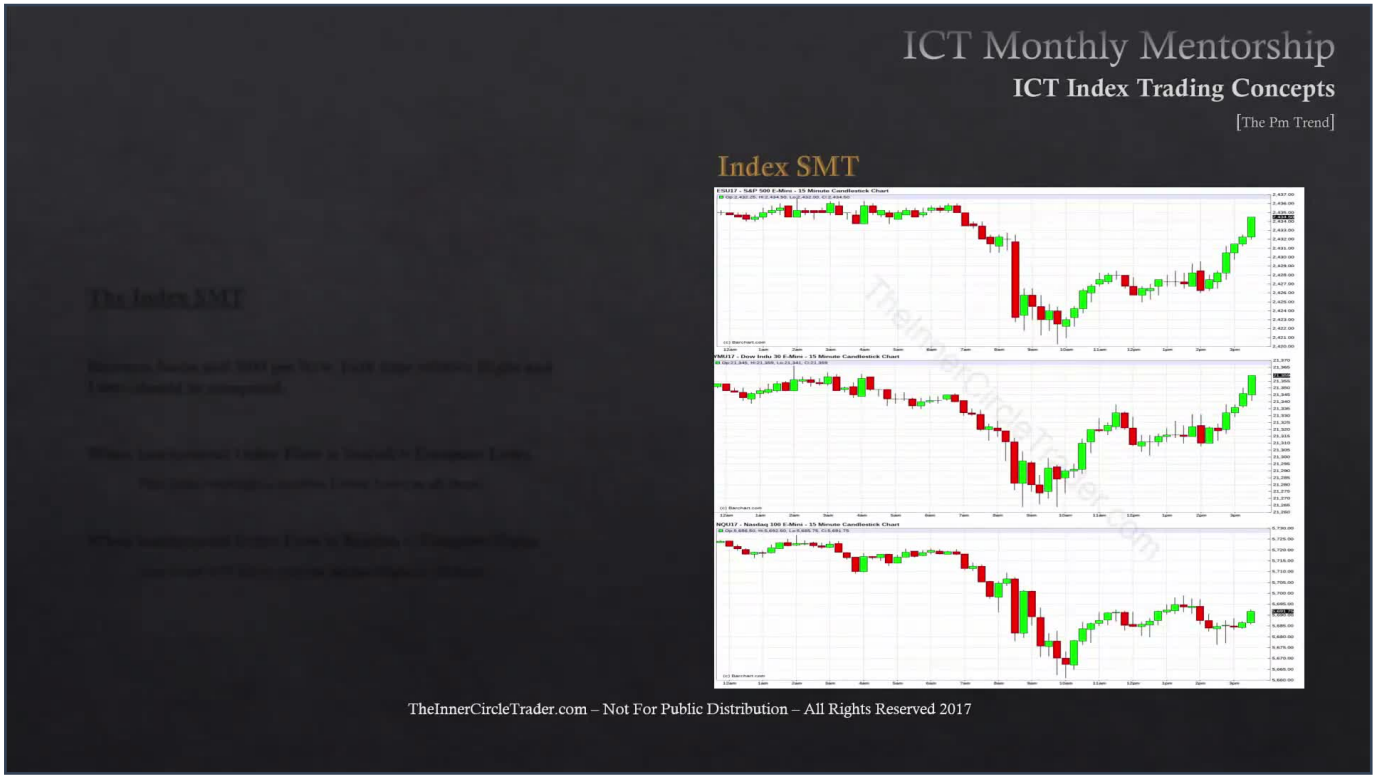

Similar to the AM session, Index SMT (Smart Money Tool) applies to the PM session.

- We look for highs and lows between noon and 3 PM New York time.

- For relative highs and lows that form after 12 PM New York time to 3 PM New York time, we analyze the relationship between all three indices (S&P, Dow, NASDAQ).

- When institutional order flow is bullish, we compare the lows. If one index fails to confirm a lower low (i.e., it makes a higher low) while the others might be attempting to, that's usually seen as bullish across all three indices when it occurs.

INDEX SMT IN THE PM SESSION - BEARISH DIVERGENCE

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The opposite scenario applies when institutional order flow is bearish.

- We compare relative highs.

- If one index fails to confirm a higher high (i.e., it makes a lower high or just fails to extend) when all three would typically be moving higher, that will be deemed bearish.

SMT PM SESSION EXAMPLE - NASDAQ LOWER LOW DIVERGENCE

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In this specific instance, the E-mini S&P and the Dow futures in the PM session showed a higher low formation on this particular day during the afternoon session.

- However, the NASDAQ futures contract made a lower low. This constitutes a 'break' from what would normally be expected.

- Normally, a symmetrical market would see the NASDAQ also create a higher low for confirmation.

- The divergence indicates accumulation in the Dow and S&P, not seen in the NASDAQ. While the NASDAQ was the 'lethargic sister,' the Dow and E-mini S&P showed relative strength by failing to make a lower low.

- The reactions after this divergence were noted, confirming the strength in the S&P and Dow.

It's important to note time zone differences; 2 PM on the bar chart, which uses Central or Chicago time, is equivalent to 3 PM New York time.

- By observing this divergence, a strong accumulation in the E-mini S&P and Dow is apparent.

- Such divergences are used to signal trades, typically in the E-mini S&P. The 'crack' among all three indices is a key reference point for deciding on upside or downside movement in the S&P.

- The morning session's drop could have been into a higher timeframe discount array, followed by an early rejection in the morning. Then, the larger higher timeframe move unfolds into the afternoon session.

- The footprint of smart money accumulation is seen here with the Index SMT divergence.

We have contrasted the characteristics of the AM session, introduced the quiet period of the day (the lunch hour), and then the restart of activity with the PM session trend.

- The PM session trend begins around 1 PM New York time and extends all the way to 4 PM at the close.

- The last hour, from 3 PM going into the last hour of equities trading, can create the opposite end of the daily range.

The opening range or first hour of AM trading typically creates the high or low of the day.

- If the AM session forms the low of the day and there's a strong uptrend with no retracement during lunch, and the PM session indicates further upward movement, confidence can be placed in trading in the same direction as the AM session.

- This continuation will likely lead to the high of the day forming during the last hour of trading (3 PM to 4 PM New York time), especially after the bond market closes at 3 PM.

- Conversely, if the AM session or first hour of trading creates the high of the day and it's a down-close day, the market will most likely continue lower until the bond market closes.

- Shortly after 3 o'clock, the low of the day will likely form and carry into the 4 PM close.

This information is intended to be insightful, and these concepts will be blended into a cohesive trading plan.

- The next lesson will focus on how to pick targets once the understanding of which session to trade in is established.